

6. Note 16C stated that the raw material consumed had been estimated by the management and this had not been checked by the auditors.

The company made a profit of just over Rs. 1 crore. If the product development expenses, customer duty and interest and provision for bad debts had been made as is required under generally accepted accounting principles, the profit would have turned into a loss.

The point to remember is that at times accounting principles are changed, or creative and innovative accounting practices resorted to by some companies in order to show a better result. The effect of these changes is at times not detailed in the notes to the accounts. The Auditor's Report will always draw the attention of the reader to these changes and the effect that these have on the financial statements. It is for this reason that a careful reading of the Auditor's Report is not only necessary but mandatory for an investor.

Financial Statements

The published financial statements of a company in an Annual Report consist of its Balance Sheet as at the end of the accounting period detailing the financial condition of the company at that date, and the Profit and Loss Account or Income Statement summarizing the activities of the company for the accounting period.

Fundamental Ltd.

Balance Sheet as at 31 March 2010

	2009	2010
<i>Sources of Funds</i>		
Shareholders' funds:		
(a) Capital	1,000	1,000
(b) Reserves	8,00	1,650
	<u>1,800</u>	<u>2,650</u>
 Loan funds:		
(a) Secured Loans	1,350	1,050
(b) Unsecured Loans	650	500
	<u>2,000</u>	<u>1,550</u>